

SOLVED PRACTICE WORKBOOK

Terror Financing, Money Laundering and FATF - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Terror-finance laundering distinction?

A. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. B. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. C. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. D. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.

Answer: A. Explanation: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q2. Which option preserves the legal or institutional boundary of Terror-finance laundering distinction?

A. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. B. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. C. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. D. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.

Answer: B. Explanation: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q3. Which statement uses Terror-finance laundering distinction without changing its institution, law or status?

A. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. D. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin.

Answer: C. Explanation: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q4. Which option avoids the standard UPSC close-option trap about Terror-finance laundering distinction?

A. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: D. Explanation: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q5. Which statement correctly identifies Predicate-offence gateway?

A. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. B. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. C. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. D. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin.

Answer: A. Explanation: PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q6. Which option preserves the legal or institutional boundary of Predicate-offence gateway?

A. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. B. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. C. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. D. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.

Answer: B. Explanation: PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q7. Which statement uses Predicate-offence gateway without changing its institution, law or status?

A. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. D. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection.

Answer: C. Explanation: PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. The

other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q8. Which option avoids the standard UPSC close-option trap about Predicate-offence gateway?

A. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. D. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.

Answer: D. Explanation: PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q9. Which statement correctly identifies Placement typology?

A. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. D. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.

Answer: A. Explanation: Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q10. Which option preserves the legal or institutional boundary of Placement typology?

A. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. B. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. C. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. D. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin.

Answer: B. Explanation: Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q11. Which statement uses Placement typology without changing its institution, law or status?

A. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. D. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Answer: C. Explanation: Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. The other options change the

threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q12. Which option avoids the standard UPSC close-option trap about Placement typology?

A. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. B. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. C. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. D. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion.

Answer: D. Explanation: Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q13. Which statement correctly identifies Layering typology?

A. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. B. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. C. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. D. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection.

Answer: A. Explanation: Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q14. Which option preserves the legal or institutional boundary of Layering typology?

A. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. B. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. C. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. D. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level.

Answer: B. Explanation: Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q15. Which statement uses Layering typology without changing its institution, law or status?

A. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. B. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. C. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. D. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Answer: C. Explanation: Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q16. Which option avoids the standard UPSC close-option trap about Layering typology?

A. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. B. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. C. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. D. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.

Answer: D. Explanation: Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q17. Which statement correctly identifies Integration typology?

A. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. B. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. C. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. D. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level.

Answer: A. Explanation: Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q18. Which option preserves the legal or institutional boundary of Integration typology?

A. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. B. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. C. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. D. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Answer: B. Explanation: Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q19. Which statement uses Integration typology without changing its institution, law or status?

A. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. B. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. C. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. D. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.

Answer: C. Explanation: Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q20. Which option avoids the standard UPSC close-option trap about Integration typology?

A. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. B. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. C. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. D. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin.

Answer: D. Explanation: Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q21. Which statement correctly identifies TBML boundary?

A. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. B. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. C. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. D. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Answer: A. Explanation: Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q22. Which option preserves the legal or institutional boundary of TBML boundary?

A. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. B. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. C. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. D. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.

Answer: B. Explanation: Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q23. Which statement uses TBML boundary without changing its institution, law or status?

A. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. B. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. C. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. D. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.

Answer: C. Explanation: Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q24. Which option avoids the standard UPSC close-option trap about TBML boundary?

A. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. B. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. C. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. D. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level.

Answer: D. Explanation: Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q25. Which statement correctly identifies Clean-clean dirty-clean distinction?

A. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. B. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. C. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. D. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Answer: A. Explanation: Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q26. Which option preserves the legal or institutional boundary of Clean-clean dirty-clean distinction?

A. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. B. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. C. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. D. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or

convert every unexplained asset into proceeds of crime.

Answer: B. Explanation: Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q27. Which statement uses Clean-clean dirty-clean distinction without changing its institution, law or status?

A. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. B. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. C. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. D. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.

Answer: C. Explanation: Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q28. Which option avoids the standard UPSC close-option trap about Clean-clean dirty-clean distinction?

A. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. B. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. C. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. D. Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection.

Answer: D. Explanation: Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q29. Which statement correctly identifies Reporting-entity controls?

A. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. B. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. C. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. D. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.

Answer: A. Explanation: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q30. Which option preserves the legal or institutional boundary of Reporting-entity controls?

A. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. B. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. C. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. D. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.

Answer: B. Explanation: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q31. Which statement uses Reporting-entity controls without changing its institution, law or status?

A. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. B. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. C. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. D. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.

Answer: C. Explanation: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q32. Which option avoids the standard UPSC close-option trap about Reporting-entity controls?

A. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. B. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. C. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. D. Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Answer: D. Explanation: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q33. Which statement correctly identifies FIU-IND mandate?

A. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. B. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. C. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. D. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.

Answer: A. Explanation: FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q34. Which option preserves the legal or institutional boundary of FIU-IND mandate?

A. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. B. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. C. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. D. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.

Answer: B. Explanation: FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q35. Which statement uses FIU-IND mandate without changing its institution, law or status?

A. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. B. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. C. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. D. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model.

Answer: C. Explanation: FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q36. Which option avoids the standard UPSC close-option trap about FIU-IND mandate?

A. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. B. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. C. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. D. FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.

Answer: D. Explanation: FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q37. Which statement correctly identifies ED mandate?

A. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. B. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. C. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. D. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.

Answer: A. Explanation: The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q38. Which option preserves the legal or institutional boundary of ED mandate?

A. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. B. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. C. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. D. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards.

Answer: B. Explanation: The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q39. Which statement uses ED mandate without changing its institution, law or status?

A. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. B. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. C. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. D. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards.

Answer: C. Explanation: The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q40. Which option avoids the standard UPSC close-option trap about ED mandate?

A. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. B. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. C. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. D. The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.

Answer: D. Explanation: The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q41. Which statement correctly identifies PMLA property ladder?

A. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. B. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. C. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. D. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards.

Answer: A. Explanation: The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q42. Which option preserves the legal or institutional boundary of PMLA property ladder?

A. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. B. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. C. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. D. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing.

Answer: B. Explanation: The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q43. Which statement uses PMLA property ladder without changing its institution, law or status?

A. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. B. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. C. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.

Answer: C. Explanation: The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q44. Which option avoids the standard UPSC close-option trap about PMLA property ladder?

A. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. B. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. C. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. D. The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.

Answer: D. Explanation: The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q45. Which statement correctly identifies Investigation-prosecution boundary?

A. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. B. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. C. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. D. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model.

Answer: A. Explanation: Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q46. Which option preserves the legal or institutional boundary of Investigation-prosecution boundary?

A. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. B. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. C. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. D. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing.

Answer: B. Explanation: Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q47. Which statement uses Investigation-prosecution boundary without changing its institution, law or status?

A. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. B. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. C. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness

performance; it is not a supranational criminal court.

Answer: C. Explanation: Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q48. Which option avoids the standard UPSC close-option trap about Investigation-prosecution boundary?

A. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. B. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. C. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. D. Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.

Answer: D. Explanation: Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q49. Which statement correctly identifies UAPA terror-finance route?

A. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. B. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. C. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. D. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards.

Answer: A. Explanation: UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q50. Which option preserves the legal or institutional boundary of UAPA terror-finance route?

A. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. B. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. C. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.

Answer: B. Explanation: UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q51. Which statement uses UAPA terror-finance route without changing its institution, law or status?

A. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. B. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. C. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.

Answer: C. Explanation: UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q52. Which option avoids the standard UPSC close-option trap about UAPA terror-finance route?

A. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. B. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. C. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. D. UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model.

Answer: D. Explanation: UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q53. Which statement correctly identifies Sanctions-listing boundary?

A. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. B. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. C. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.

Answer: A. Explanation: UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q54. Which option preserves the legal or institutional boundary of Sanctions-listing boundary?

A. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. B. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. C. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. D. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms.

Answer: B. Explanation: UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q55. Which statement uses Sanctions-listing boundary without changing its institution, law or status?

A. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. B. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. C. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. D. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms.

Answer: C. Explanation: UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q56. Which option avoids the standard UPSC close-option trap about Sanctions-listing boundary?

A. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. D. UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards.

Answer: D. Explanation: UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q57. Which statement correctly identifies Proliferation-finance limb?

A. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. B. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. C. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.

Answer: A. Explanation: The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q58. Which option preserves the legal or institutional boundary of Proliferation-finance limb?

A. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. B. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. C. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. D. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation.

Answer: B. Explanation: The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q59. Which statement uses Proliferation-finance limb without changing its institution, law or status?

A. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. D. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms.

Answer: C. Explanation: The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q60. Which option avoids the standard UPSC close-option trap about Proliferation-finance limb?

A. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. D. The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing.

Answer: D. Explanation: The WMD Act, 2005 as amended in 2022 prohibits financing connected with prohibited weapons-of-mass-destruction activity, forming a proliferation-financing limb distinct from money laundering and terrorist financing. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q61. Which statement correctly identifies FATF standards role?

A. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. B. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. C. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. D. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach.

Answer: A. Explanation: FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q62. Which option preserves the legal or institutional boundary of FATF standards role?

A. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. B. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. C. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. D. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Answer: B. Explanation: FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q63. Which statement uses FATF standards role without changing its institution, law or status?

A. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. B. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. C. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: C. Explanation: FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q64. Which option avoids the standard UPSC close-option trap about FATF standards role?

A. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. D. FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.

Answer: D. Explanation: FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q65. Which statement correctly identifies Mutual Evaluation?

A. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. D. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms.

Answer: A. Explanation: A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q66. Which option preserves the legal or institutional boundary of Mutual Evaluation?

A. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. B. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. C. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: B. Explanation: A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q67. Which statement uses Mutual Evaluation without changing its institution, law or status?

A. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: C. Explanation: A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q68. Which option avoids the standard UPSC close-option trap about Mutual Evaluation?

A. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. B. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. C. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. D. A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation.

Answer: D. Explanation: A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q69. Which statement correctly identifies Listing-follow-up firewall?

A. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the

same offence or evidentiary chain.

Answer: A. Explanation: Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q70. Which option preserves the legal or institutional boundary of Listing-follow-up firewall?

A. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. B. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. C. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: B. Explanation: Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q71. Which statement uses Listing-follow-up firewall without changing its institution, law or status?

A. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. B. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. C. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. D. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.

Answer: C. Explanation: Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q72. Which option avoids the standard UPSC close-option trap about Listing-follow-up firewall?

A. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. B. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. C. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. D. Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms.

Answer: D. Explanation: Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q73. Which statement correctly identifies India MER 2024?

A. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: A. Explanation: FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q74. Which option preserves the legal or institutional boundary of India MER 2024?

A. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. B. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. C. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. D. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.

Answer: B. Explanation: FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q75. Which statement uses India MER 2024 without changing its institution, law or status?

A. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. B. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. C. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. D. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.

Answer: C. Explanation: FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q76. Which option avoids the standard UPSC close-option trap about India MER 2024?

A. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. B. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. C. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. D. FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach.

Answer: D. Explanation: FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q77. Which statement correctly identifies Compliance-outcome end-state?

A. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. B. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. C. Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. D. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.

Answer: A. Explanation: An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q78. Which option preserves the legal or institutional boundary of Compliance-outcome end-state?

A. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. B. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. C. PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. D. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion.

Answer: B. Explanation: An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q79. Which statement uses Compliance-outcome end-state without changing its institution, law or status?

A. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. B. Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. C. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. D. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.

Answer: C. Explanation: An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

Q80. Which option avoids the standard UPSC close-option trap about Compliance-outcome end-state?

A. Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. B. Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. C. Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. D. An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Answer: D. Explanation: An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The other options change the threat category, institutional owner, legal instrument, evidentiary rung or implementation status.

PYQS AND ANSWER PRACTICE

AUDITED TOPIC-SPECIFIC PYQ OWNERSHIP

The routed ledger provides direct 2021 and 2023 GS-III demands. The third conservative card is the 2018 drug-trafficking linkage question, explicitly marked as cross-owned with Topic 11 and limited here to its money-laundering and proceeds-status component.

PYQ DEMAND CARD 1 - 2021 GS-III

Demand: How emerging technologies and globalisation contribute to money laundering and the national and international measures to tackle it.

Status: Routed to this owner; Discuss · 10 marks · 150 words.

Model solution: Terror-finance laundering distinction: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Predicate-offence gateway:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **TBML boundary:** Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level.

Reporting-entity controls: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **FIU-IND mandate:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **ED mandate:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.

Investigation-prosecution boundary: Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **FATF standards role:** FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. **Mutual Evaluation:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Compliance-outcome end-state:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution,

conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The solution therefore answers the routed demand without inventing an official model answer or an objective answer key.

PYQ DEMAND CARD 2 - 2023 GS-III

Demand: Major sources of terror funding in India and efforts to curb them in light of FATF compliance.

Status: Printed stem verified in the routing ledger; Discuss · 15 marks · 250 words.

Model solution: Terror-finance laundering distinction: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Predicate-offence gateway:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Clean-clean dirty-clean distinction:** Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. **Reporting-entity controls:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **FIU-IND mandate:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **ED mandate:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **UAPA terror-finance route:** UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. **Sanctions-listing boundary:** UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. **FATF standards role:** FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. **Mutual Evaluation:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Listing-follow-up firewall:** Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. **India MER 2024:** FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. **Compliance-outcome end-state:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The solution therefore answers the routed demand without inventing an official model answer or an objective answer key.

PYQ DEMAND CARD 3 - 2018 GS-III

Demand: Drug-trafficking linkages with money laundering and human trafficking.

Status: Conservative cross-owned component card routed principally to Topic 11; Explain · 15 marks · 250 words. This solution covers only the laundering and proceeds-status leg.

Model solution: Terror-finance laundering distinction: Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Predicate-offence gateway:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Placement typology:** Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. **Layering typology:** Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. **Integration typology:** Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. **TBML boundary:** Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error,

customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. **FIU-IND mandate:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **ED mandate:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **PMLA property ladder:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. **Investigation-prosecution boundary:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Compliance-outcome end-state:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. The solution therefore answers the routed demand without inventing an official model answer or an objective answer key.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish terror financing from money laundering and explain why lawful-origin funds may still create CFT risk. Answer in about 150 words.

Model thesis: Claim: Terror-finance laundering distinction. **Named evidence/example:** Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Clean-clean dirty-clean distinction. **Named evidence/example:** Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** UAPA terror-finance route. **Named evidence/example:** UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim -> named evidence -> analysis -> qualification:

- Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.
- PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.
- Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection.

- UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model.
- An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Qualified conclusion: Claim: Terror-finance laundering distinction. **Named evidence/example:** Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Clean-clean dirty-clean distinction. **Named evidence/example:** Funds legally generated and transferred but diverted to terror may present fewer criminal-origin indicators than dirty proceeds later laundered, which is why terror-finance risk cannot be reduced to proceeds-of-crime detection. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** UAPA terror-finance route. **Named evidence/example:** UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain placement, layering and integration as a conceptual typology without turning the answer into evasion guidance. Answer in about 150 words.

Model thesis: Claim: Placement typology. **Named evidence/example:** Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Layering typology. **Named evidence/example:** Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Integration typology. **Named evidence/example:** Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** TBML boundary. **Named evidence/example:** Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified

evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Reporting-entity controls.

Named evidence/example: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim -> named evidence -> analysis -> qualification:

- Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion.
- Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques.
- Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin.
- Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level.
- Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.

Qualified conclusion: Claim: Placement typology. **Named evidence/example:** Placement is the conceptual stage at which illicit proceeds first enter a financial or commercial channel; it is a typology for diagnosis, not a guide to evasion.

Analysis: This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Layering typology. **Named evidence/example:** Layering conceptually describes transactions or structures that distance value from its criminal origin; answers should identify the control failure without reproducing operational concealment techniques. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication.

Qualification: The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Integration typology. **Named evidence/example:** Integration is the stage at which value returns in an apparently legitimate form; legitimate appearance does not by itself establish lawful origin. **Analysis:**

This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: TBML boundary. **Named evidence/example:** Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication.

Qualification: The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Reporting-entity controls.

Named evidence/example: Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

ORIGINAL MAINS 3 - 15 MARKS

Question: Discuss how technology and globalisation alter money-laundering risk and evaluate matched national and international controls. Answer in about 250 words.

Model thesis: **Claim:** Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** TBML boundary. **Named evidence/example:** Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Reporting-entity controls. **Named evidence/example:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FIU-IND mandate. **Named evidence/example:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** ED mandate. **Named evidence/example:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FATF standards role. **Named evidence/example:** FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Mutual Evaluation. **Named evidence/example:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim -> named evidence -> analysis -> qualification:

- PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.

- Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level.
- Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.
- FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.
- The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.
- Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.
- FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.
- A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation.
- An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Qualified conclusion: Claim: Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** TBML boundary. **Named evidence/example:** Trade-Based Money Laundering moves or disguises value through manipulated trade transactions or documentation; it is distinct from ordinary trade error, customs evasion and virtual-asset laundering and should be discussed only at a non-operational level. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Reporting-entity controls. **Named evidence/example:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FIU-IND mandate. **Named evidence/example:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** ED mandate. **Named evidence/example:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FATF standards role. **Named evidence/example:** FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: Mutual Evaluation. **Named evidence/example:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess India's terror-finance architecture across UAPA Section 51A, PMLA, FIU-IND, ED and targeted financial sanctions. Answer in about 250 words.

Model thesis: **Claim:** Terror-finance laundering distinction. **Named evidence/example:** Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FIU-IND mandate. **Named evidence/example:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** ED mandate. **Named evidence/example:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** PMLA property ladder. **Named evidence/example:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** UAPA terror-finance route. **Named evidence/example:** UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Sanctions-listing boundary. **Named evidence/example:** UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified

evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim -> named evidence -> analysis -> qualification:

- Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain.
- PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.
- FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.
- The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.
- The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.
- Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.
- UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model.
- UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards.
- An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Qualified conclusion: Claim: Terror-finance laundering distinction. **Named evidence/example:** Terror financing provides or moves value for a terrorist purpose and may use lawful or unlawful origins, whereas money laundering disguises proceeds of crime; the two can intersect but are not the same offence or evidentiary chain. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FIU-IND mandate. **Named evidence/example:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** ED mandate. **Named evidence/example:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** PMLA property ladder. **Named evidence/example:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are

different rungs. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** UAPA terror-finance route. **Named evidence/example:** UAPA contains terror-fund offences and Section 51A provides a listing-linked route to freeze, seize or attach covered funds and assets and prevent funds being made available; this route is distinct from PMLA's predicate-proceeds model. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Sanctions-listing boundary. **Named evidence/example:** UN Security Council 1267-linked or domestic designation and targeted financial sanctions are preventive legal statuses, not criminal conviction; review, delisting and identity accuracy remain essential safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically evaluate India's 2024 FATF Mutual Evaluation outcome by separating technical compliance, disruption and adjudicated effectiveness. Answer in about 300 words.

Model thesis: **Claim:** Reporting-entity controls. **Named evidence/example:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** PMLA property ladder. **Named evidence/example:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FATF standards role. **Named evidence/example:** FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Mutual Evaluation. **Named evidence/example:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Listing-follow-up firewall. **Named evidence/example:** Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for

action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** India MER 2024. **Named evidence/example:** FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim -> named evidence -> analysis -> qualification:

- Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.
- The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.
- Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.
- FATF sets international AML, CFT and proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court.
- A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation.
- Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms.
- FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach.
- An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Qualified conclusion: **Claim:** Reporting-entity controls. **Named evidence/example:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** PMLA property ladder. **Named evidence/example:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FATF standards role. **Named evidence/example:** FATF sets international AML, CFT and

proliferation-financing standards through its Recommendations and assesses legal, institutional and effectiveness performance; it is not a supranational criminal court. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Mutual Evaluation. **Named evidence/example:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Listing-follow-up firewall. **Named evidence/example:** Jurisdictions under increased monitoring and high-risk jurisdictions subject to a call for action are listing processes, while regular or enhanced follow-up describes post-Mutual-Evaluation reporting frequency; grey list, black list and regular follow-up are not synonyms. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** India MER 2024. **Named evidence/example:** FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

ORIGINAL MAINS 6 - 20 MARKS

Question: Examine the proposition that India's AML/CFT bottleneck lies in converting financial intelligence and provisional action into timely fair prosecution and confiscation. Answer in about 300 words.

Model thesis: Claim: Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Reporting-entity controls. **Named evidence/example:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** FIU-IND mandate. **Named evidence/example:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** ED mandate. **Named evidence/example:** The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** PMLA property ladder. **Named evidence/example:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Mutual Evaluation. **Named evidence/example:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** India MER 2024. **Named evidence/example:** FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim -> named evidence -> analysis -> qualification:

- PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case.
- Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt.
- FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction.
- The Enforcement Directorate investigates money laundering within PMLA's statutory gateway and may seek provisional attachment; it does not adjudicate guilt or convert every unexplained asset into proceeds of crime.
- The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs.
- Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial.
- A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation.
- FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach.
- An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards.

Qualified conclusion: **Claim:** Predicate-offence gateway. **Named evidence/example:** PMLA is derivative: proceeds of crime must be linked to a registered scheduled predicate offence, so the quality and status of the underlying investigation shape the laundering case. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary. **Claim:** Reporting-entity controls. **Named evidence/example:** Customer due diligence, beneficial-owner identification, record maintenance and suspicious-transaction reporting are preventive inputs by regulated or notified reporting entities, not findings of criminal guilt. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal

character and notification-to-implementation status boundary. **Claim:** FIU-IND mandate. **Named evidence/example:** FIU-IND under the Department of Revenue receives, analyses and disseminates specified financial intelligence; an STR is an intelligence lead, not an FIR, charge or conviction. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

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Claim: PMLA property ladder. **Named evidence/example:** The property chain runs ED provisional attachment, Adjudicating Authority confirmation or release, Special Court adjudication and confiscation on the legally required outcome; attachment and confiscation are different rungs. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: Investigation-prosecution boundary. **Named evidence/example:** Financial intelligence, predicate-offence investigation, PMLA investigation, prosecution, conviction and sanction require coordinated but distinct institutional work; detection strength cannot substitute for timely fair trial. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: Mutual Evaluation. **Named evidence/example:** A FATF Mutual Evaluation examines technical compliance and effectiveness outcomes through a peer-review process; formal laws and institutions do not by themselves establish effective implementation. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: India MER 2024. **Named evidence/example:** FATF's official India page dated 19 September 2024 placed India in regular follow-up and recognised risk understanding, financial-intelligence use, beneficial-ownership access and asset recovery while calling for completed ML/TF trials, appropriate sanctions and risk-based non-profit outreach. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.

Claim: Compliance-outcome end-state. **Named evidence/example:** An effective AML/CFT system must connect risk assessment, preventive controls, financial intelligence, lawful disruption, predicate investigation, prosecution, conviction or acquittal, confiscation where ordered, international cooperation and rights safeguards. **Analysis:** This fixes the threat category, legal instrument, institutional mandate and verified evidentiary rung before drawing the policy implication. **Qualification:** The conclusion retains the owner's date, institution, legal character and notification-to-implementation status boundary.